

ICMAI
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COST ACCOUNTANTS OF INDIA
भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

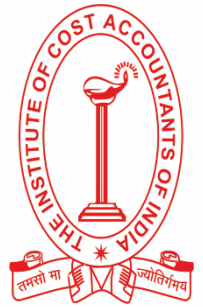
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Basic Concepts of Income Tax

Behind every successful business decision, there is always a **CMA**



Taxation



Taxation serves as the financial lifeblood of a sovereign nation, funding critical public welfare, infrastructure, and security sectors.



Direct Tax

Incidence and impact fall on the same person. Progressive in nature: Assessee bears the direct burden.



Indirect Tax

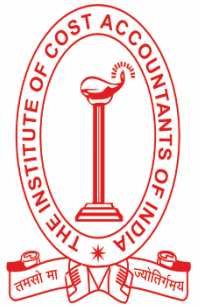
Incidence and impact fall on different persons. Regressive in nature. Assessee passes the burden to the end consumer.



Behind every successful business decision, there is always a **CMA**



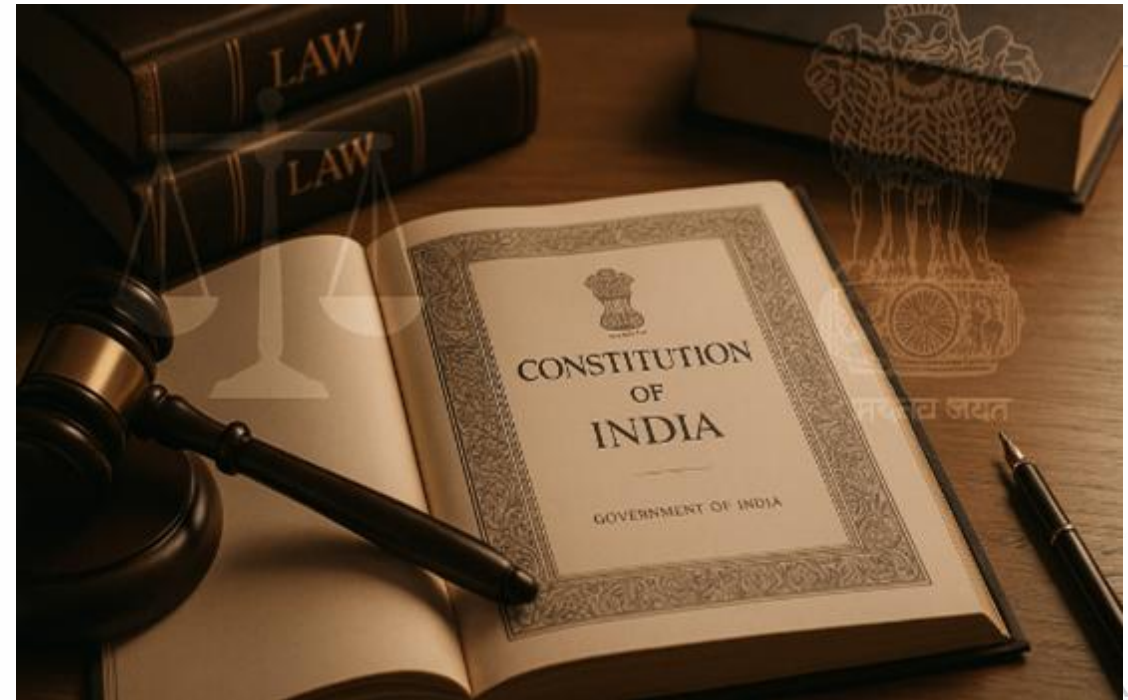
The Constitutional Mandate



Source of Power: Article 246

The power to levy taxes is derived from Article 246 read with Schedule VII of the Constitution of India.

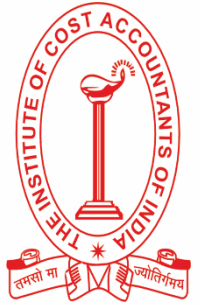
- 🏛️ **Entry 82 (Union List):** Empowers Central Govt to levy tax on income other than Agricultural Income.
- 🌿 **Entry 46 (State List):** Empowers State Govt to levy tax on Agricultural Income.



Behind every successful business decision, there is always a **CMA**



The Evolution of Indian Income Tax



327 BC

Arthashastra

Fiscal policy
codified by
Kautilya.

1886

Income Tax Act

First
comprehensive
framework.

1961

ITA 1961

Post- Independence
Applicable from
April 1962

2025

The New Act

Introduction of
simplified ITA
2025.

1860

Sir James Wilson

Introduced to
meet losses from
1857 Mutiny.

1922

IT Act, 1922

Separated
administration
from legislation.

1962

Rules Notified

IT Rules, 1962
brought into force.

2026

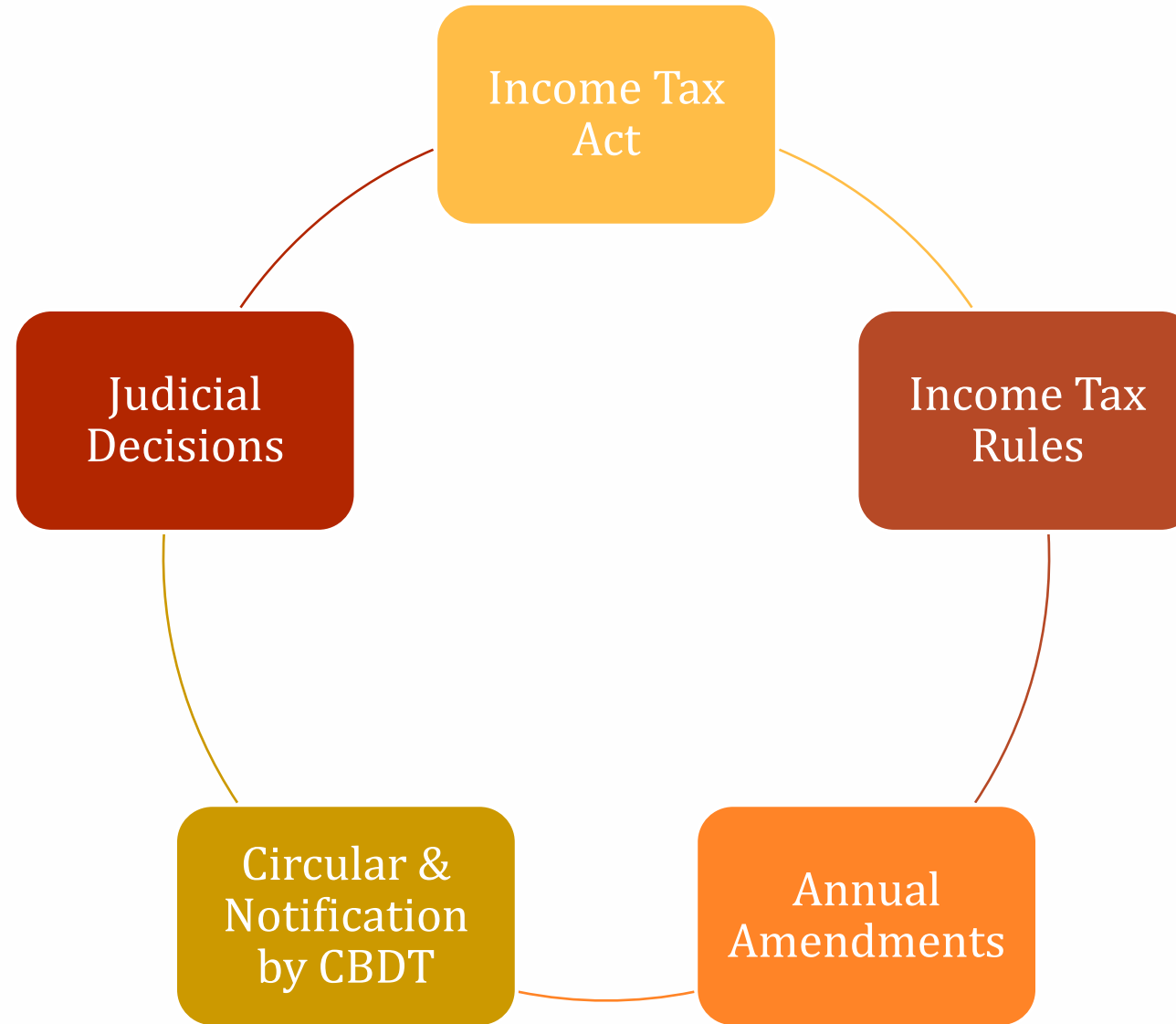
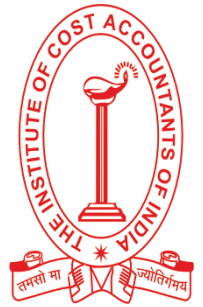
Rules Notified

Full
implementation of
the new rules.

Behind every successful business decision, there is always a **CMA**



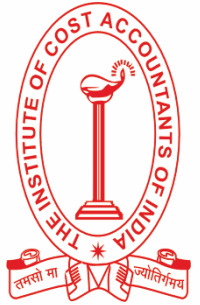
Source of Income Tax



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Why the Transition to ITA 2025?



Simplification

Replaces 60 years of dense legal jargon with contemporary, plain English drafting.



Litigation Reduction

Eliminates ambiguous phrasing and complex provisos that fueled court battles for decades.



Global Alignment

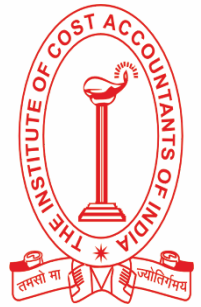
Abolishes the "PY/AY" confusion in favor of the unified, internationally recognized "Tax Year".

Structural Rationalisation: Using embedded tables and formulas to remove computational ambiguity.

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ITA 1961 vs. ITA 2025: At a Glance



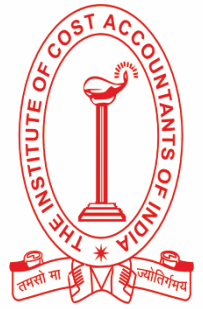
	Income Tax Act, 1961	Income Tax Act, 2025
Number of Sections	819 Sections	536 Sections (35% Reduction)
Number of Rules	511 Rules	333 Rules (35% Reduction)
Official Forms	399 Forms	190 Forms (52% Reduction)
Schedules	14 Schedules	16 Schedules (Highly organized)

Transition Note: Rights, benefits, and liabilities from the 1961 Act remain protected during parallel operation.

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Transition to Income-tax Act, 2025

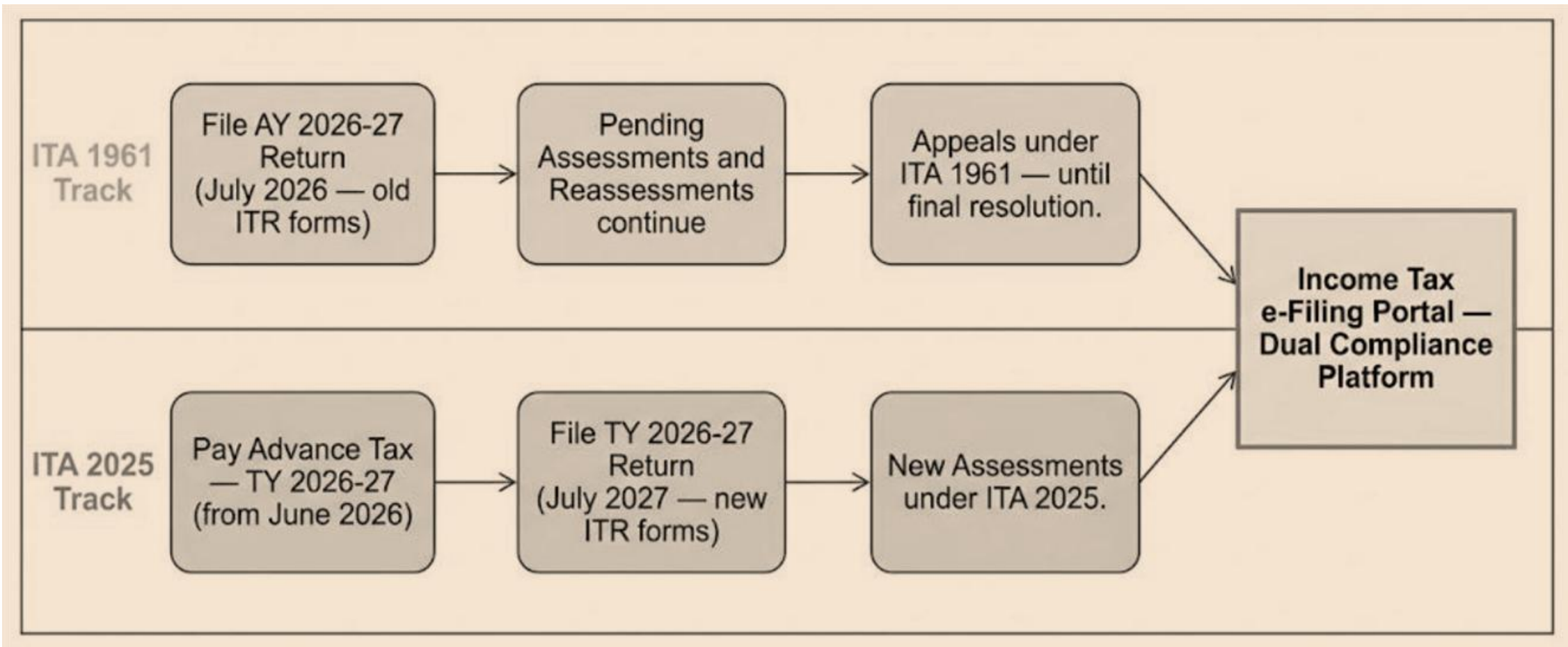


- ❑ Existing Permanent Account Number, Tax Deduction Account Number (TAN), faceless assessment, faceless appellate framework, etc., shall continue under the Income Tax Act 2025
- ❑ Tax Year is aligned with the Financial Year, no change in accounting year or financial statements is required for businesses or other taxpayers
- ❑ TDS, TCS, Advance tax payments, etc., >> within the financial year,
Return filing, assessments, reassessments, appeals, penalties, etc. >> extend well beyond the year
- ❑ Rights, benefits, obligations or liabilities that arose under the old Act continue to exist.
- ❑ Circulars, notifications, instructions, approvals, schemes etc, issued under the old Act will remain valid as long as they do not conflict with the new Act

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Transition to Income-tax Act, 2025: Parallel Operation from 01-04-26

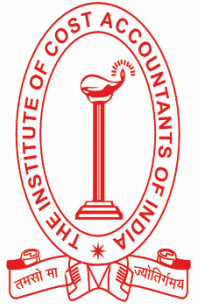


All assessments, appeals, and other proceedings relating to earlier years will continue to be conducted under the old Act until their final resolution

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Charge of Income Tax [Sec. 4]



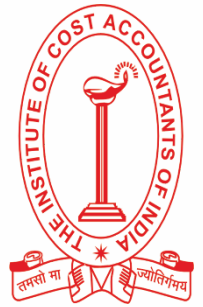
Income tax is charged on the **income** of the **person** earned by him in the **tax year**.

Once tax year ends, return is required to be furnished and assessment thereof takes place after the end of tax year

Behind every successful business decision, there is always a **CMA**



Tax Year [Sec. 3]



Tax Year means the 12 months period of the financial year commencing on the 1st April

Tax Year = April to March

1. business or profession newly set up, or
2. a source of income newly coming into existence,

in the said financial year,

- the tax year shall
- Start from the date of setting up and ending with the said financial year.

Example

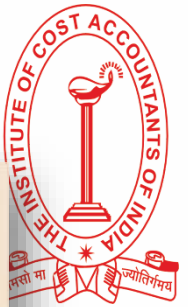
- Business started on 01-01-2027
- First tax year = 01-01-2027 to 31-03-2027
- Next Tax Year = 01-04-2027 to 31-03-2028
- & so on

The confusion between **Previous Year** and **Assessment Year** is now eliminated. Under ITA 2025, we use a single reference: **Tax Year**

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Tax Year –vs.- Assessment Year – Terminology Equivalence



Concept	ITA 1961 — Term Used	ITA 2025 — Term Used
Year in which income is earned	Previous Year	Tax Year
Year for which tax is assessed	Assessment Year (year after Previous Year)	Tax Year serves both purposes
Alignment with Financial Year	Previous Year = FY; Assessment Year = FY+1	Tax Year = FY — single reference
Example	Income of FY 2025-26 → AY 2026-27	Income of FY 2026-27 → Tax Year 2026-27

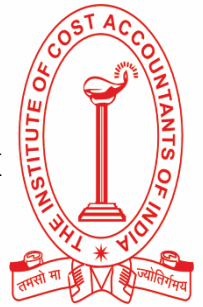
Key simplification: Under ITA 2025, the year of income and the year of assessment share the same reference — Tax Year 2026-27.

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Exceptions to the Rule

Once tax year ends, return is required to be furnished and assessment thereof takes place after the end of tax year, but in following cases, filing of return & assessment thereof shall be made within the tax year itself:



Sec. 316

- Income of a non-Resident assessee from **shipping business**.

Sec. 317

- Income of the person, **leaving India** either permanently / for a long period.

Sec. 318

- Income of bodies, formed for a **particular event or purpose**.

Sec. 319

- Income of the person who likely to **transfer his property** to avoid tax.

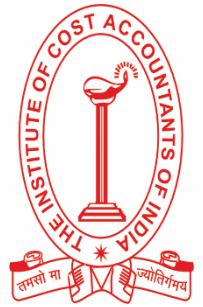
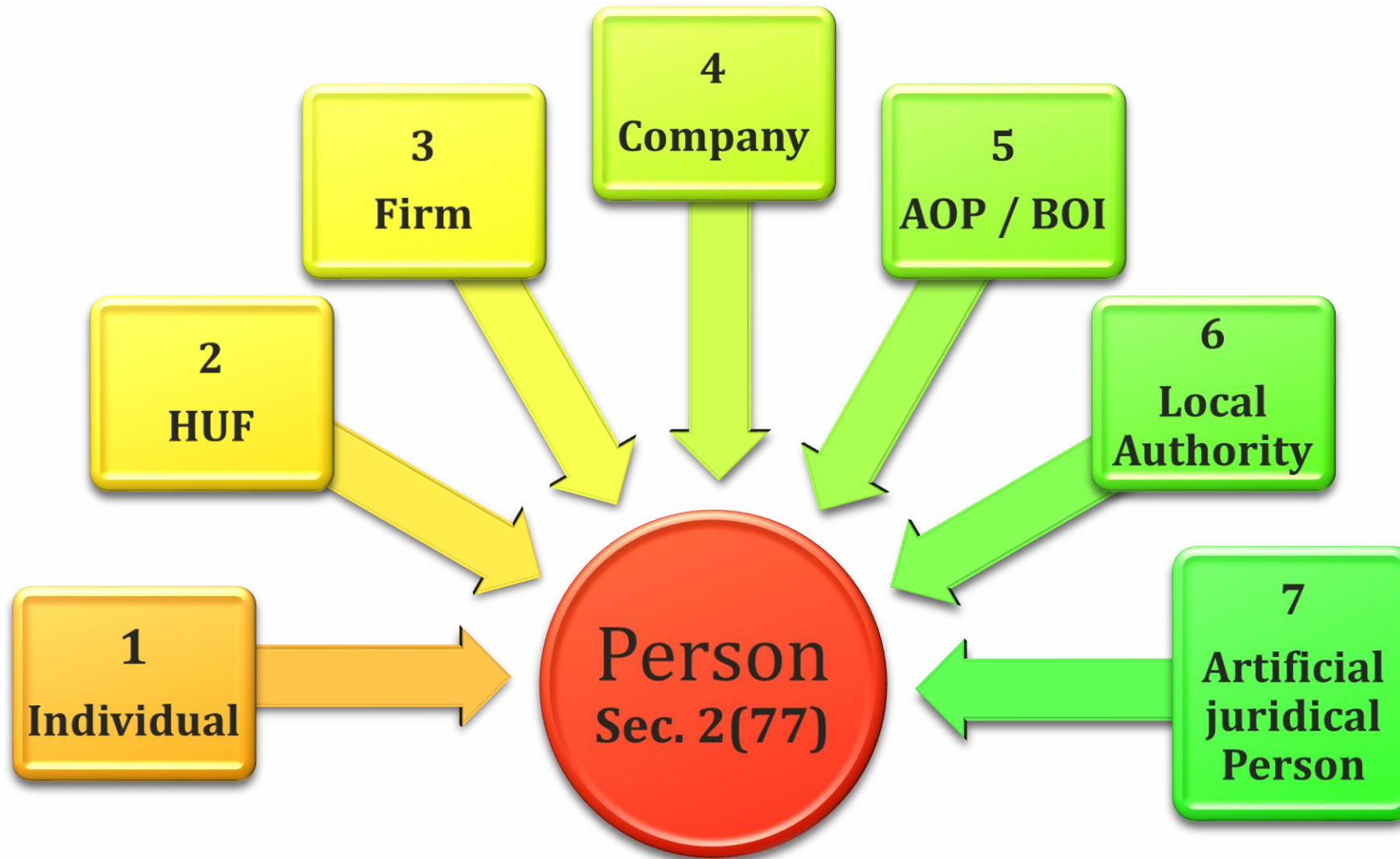
Sec. 320

- Income of a **discontinued business**.
In this Case, the assessing officer (AO) has the discretionary power

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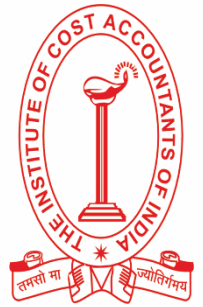
Person [Sec. 2(77)]



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Assessee [Sec. 2(11)]



Assessee means a person by whom any sum of money is payable under this Act, and includes:

- (a) every person in respect of whom any proceeding under this Act has been taken
- (b) every person who is deemed to be an assessee under this Act;
- (c) every person who is deemed to be an assessee in default under this Act;

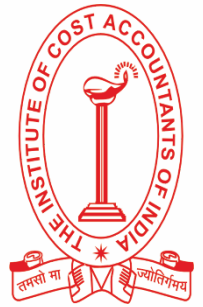
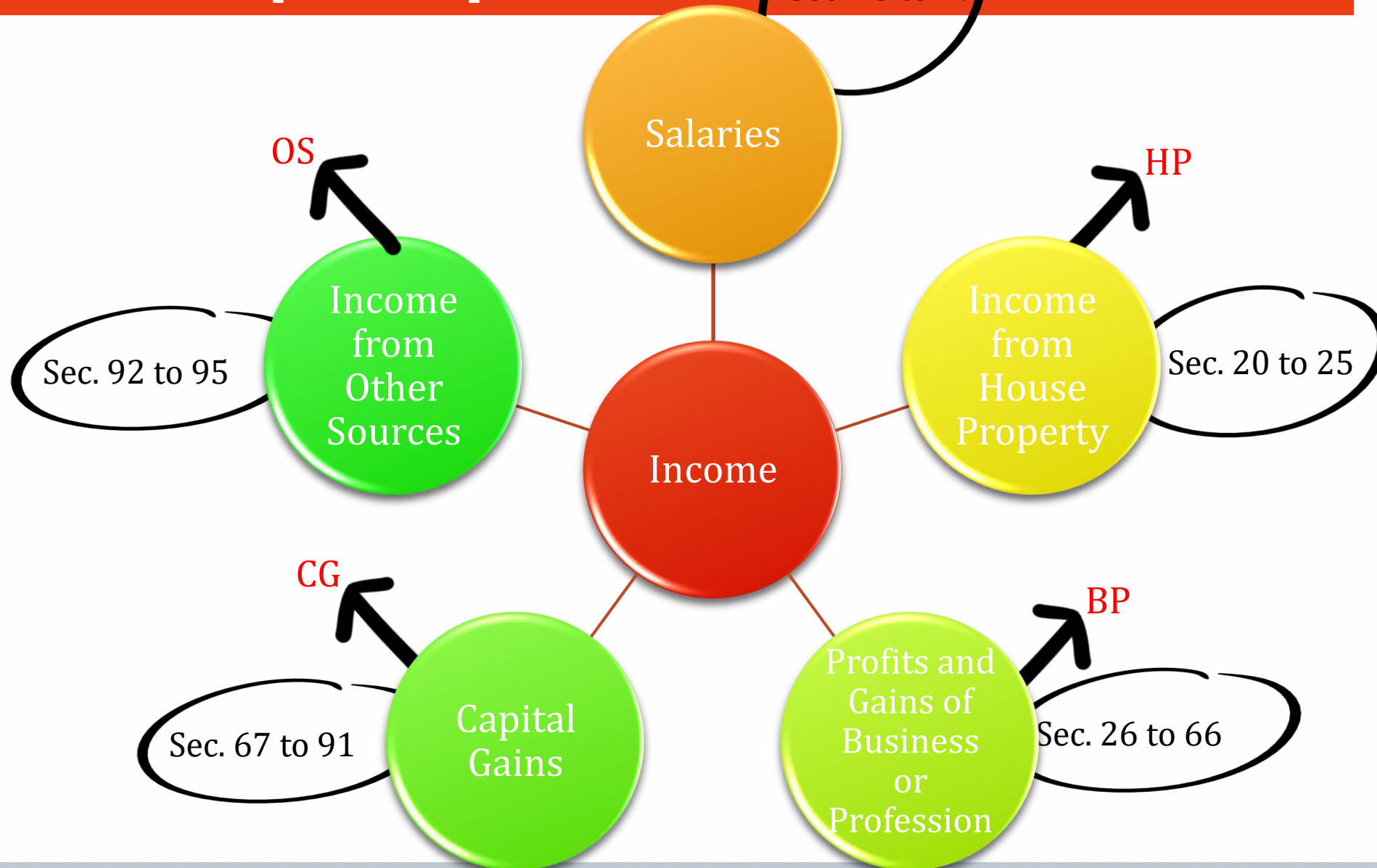
Every Assessee is a Person, but not every Person is an Assessee.

Behind every successful business decision, there is always a **CMA**



Heads of Income [Sec. 13]

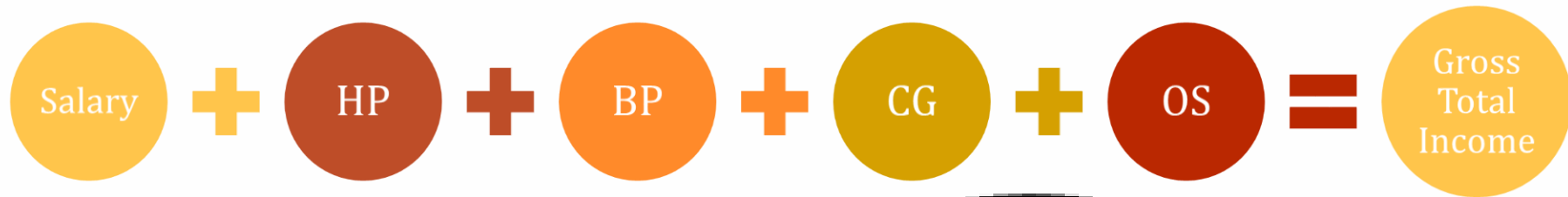
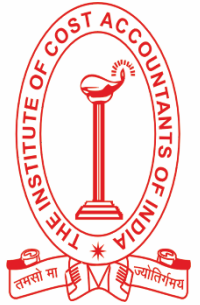
Sec. 15 to 19



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Gross Total Income (GTI) [Sec. 122(10)]

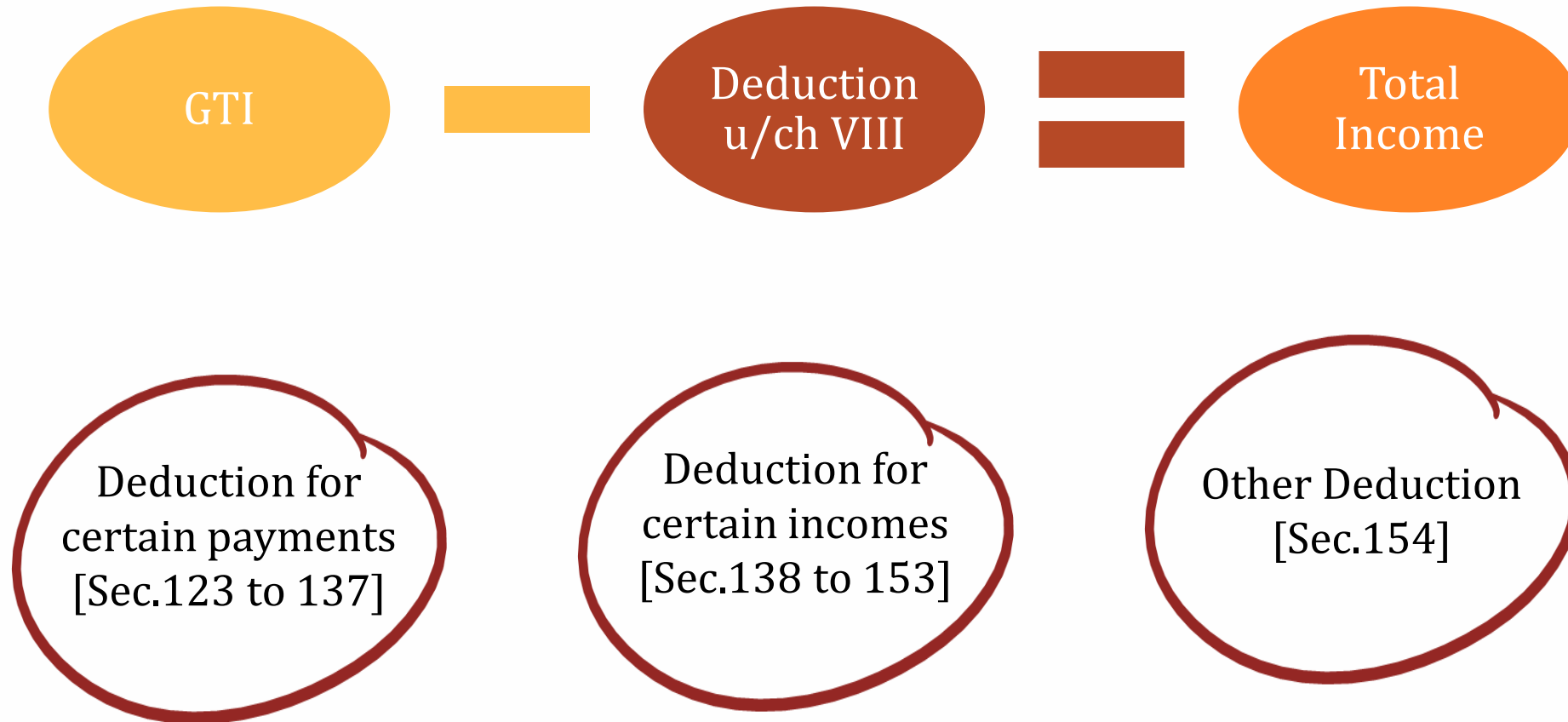
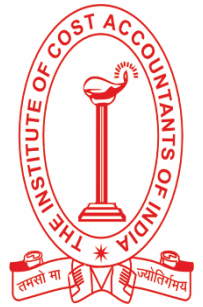


- ✓ Clubbing of Income
- ✓ Set-off & carry forward of losses

Behind every successful business decision, there is always a **CMA**



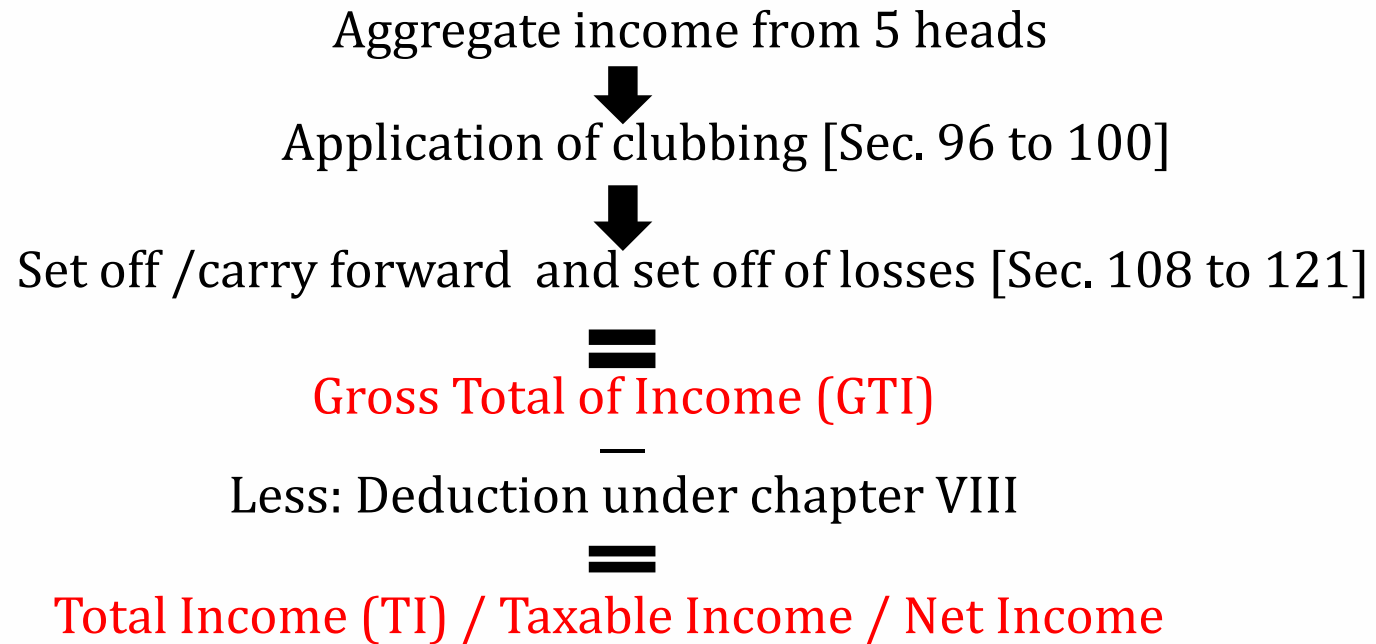
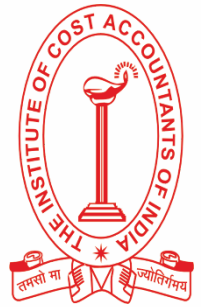
Total Income / Taxable Income



Behind every successful business decision, there is always a **CMA**



Computation of Total Income



Rounded off u/s 516

In multiple of ₹ 10

Ignore paise

If at unit place, amount is ₹ 5 or more , go for next

If amount is less than ₹ 5, go for lower one

If total Income is work out to ₹ 22,41,645

It should be round off to ₹ 22,41,650

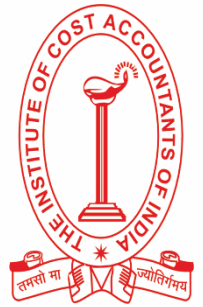
If total Income is work out to ₹ 22,41,644.98

It should be round off to ₹ 22,41,640

Behind every successful business decision, there is always a **CMA**



Regime



An Individual / HUF / AOP (other than co-operative society) / BOI / AJP are required to calculate his tax liability as per following tax regime:

☐ **New Tax Regime** [Sec. 202(1)]

Under this regime, the income of the assessee shall be taxable at concessional rate. However, he is required to sacrifice certain deductions and benefits.

☐ **Old Tax Regime** by exercising the option available u/s 202(4)

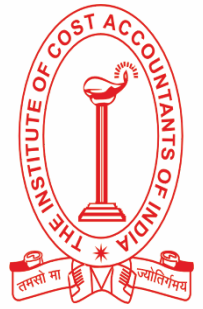
Under this regime, the assessee is eligible for certain deductions to reduce his total income. However, rate of tax is high against tax rate provided under new tax regime

Subject to certain conditions and exceptions, the aforesaid taxpayer is free to choose either of the tax regime

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Old Tax Regime: Tax Rate



Super Senior Citizen

- **resident** in India; and
- is of at least **80 years** of age at any time during the relevant tax year
- born before 02-04-1947

Senior Citizen

- **resident** in India; and
- is of at least **60 years** of age at any time during the relevant tax year.
- born on or after 02-04-1947 but before 02-04-1967

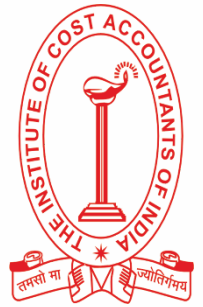
Other Individuals / HUF / AOP / BOI, etc

- Male or female
- Resident or non-resident
- born on or after 02-04-1967 or non-resident individual

Behind every successful business decision, there is always a **CMA**



Tax Rate: Super Senior Citizen / Senior Citizen



Super Senior Citizen

Income	Rates of Income Tax
Up to ₹ 5,00,000	Nil
₹ 5,00,001 to ₹ 10,00,000	20% of the amount by which the total income exceeds ₹ 5,00,000
₹ 10,00,001 and above	₹ 1,00,000 + 30% of the amount by which total income exceeds ₹ 10,00,000

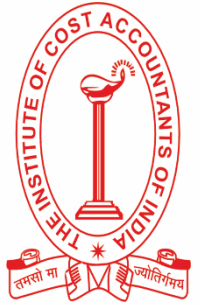
Senior Citizen

Income	Rates of Income Tax
Up to ₹ 3,00,000	Nil
₹ 3,00,001 to ₹ 5,00,000	5% of the amount by which the total income exceeds ₹ 3,00,000
₹ 5,00,001 to ₹ 10,00,000	₹ 10,000 + 20% of the amount by which the total income exceeds ₹ 5,00,000
₹ 10,00,001 and above	₹ 1,10,000 + 30% of the amount by which total income exceeds ₹ 10,00,000

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Tax Rate: Other Individual / HUF / AOP / BOI / AJP

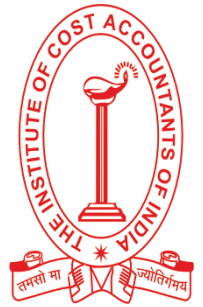


Income	Rates of Income Tax
Up to ₹ 2,50,000	Nil
₹ 2,50,001 to ₹ 5,00,000	5% of the amount by which the total income exceeds ₹ 2,50,000
₹ 5,00,001 to ₹ 10,00,000	₹ 12,500 + 20% of the amount by which the total income exceeds ₹ 5,00,000
₹ 10,00,001 and above	₹ 1,12,500 + 30% of the amount by which total income exceeds ₹ 10,00,000

Behind every successful business decision, there is always a **CMA**



Rebate u/s 156 under old tax regime



Conditions to be satisfied:

Total income of the resident individual **does not exceed ₹ 5,00,000**.

Quantum of Rebate:

Lower of the following:

- a. 100% of tax liability as computed above; or
- b. ₹ 12,500/-

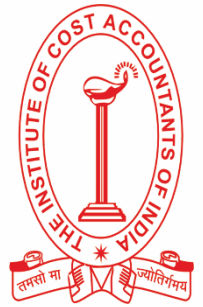
However, rebate u/s 156 is not available on tax payable u/s 198

Behind every successful business decision, there is always a **CMA**



Surcharge and Health Education Cess

Surcharge



Total Income	Rate of Surcharge
Total income does not exceed ₹ 50 lacs	Nil
Total income exceeds ₹ 50 lacs but does not exceed ₹ 1 crore	10% of tax
Total income exceeds ₹ 1 crore but does not exceed ₹ 2 crores	15% of tax
Total income exceeds ₹ 2 crores but does not exceed ₹ 5 crores	25% of tax*
Total income exceeds ₹ 5 crores	37% of tax*

* Where the total income includes dividend, any income chargeable u/s 196, 197 and 198, the surcharge on the amount of income-tax computed on that part of income shall not exceed 15%. Further, in case of an AOP consisting of only companies as its members, the rate of surcharge on the amount of Income-tax shall not exceed 15%.

Health & Education Cess

Applicable on: All assessee

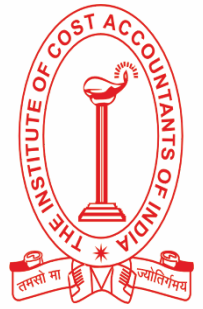
Rate of cess: 4% of Tax liability after Surcharge

Tax payable should be rounded off u/s 516

Behind every successful business decision, there is always a **CMA**



Example



Compute tax liability of an individual (52 years) whose total income is ₹ 50,10,000

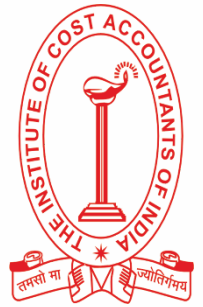
Particulars	Working	Amount
Tax liability before Rebate	₹ 2,50,000 x Nil	Nil
	₹ 2,50,000 x 5%	12,500
	₹ 5,00,000 x 20%	1,00,000
	Balance Income x 30%	12,03,000
Total		13,15,500
Less: Rebate u/s 156	As income exceeds ₹ 5,00,000	Nil
Liability [A]		13,15,500
Add: Surcharge	B = [10% of (A)]	1,31,550
Tax & Surcharge Payable		14,47,050

Sad! Why?



Behind every successful business decision, there is always a **CMA**

Marginal Relief



Marginal relief is provided to ensure that the additional income tax payable including surcharge on excess of income over ₹ 50,00,000 is limited to the amount by which the income is more than ₹ 50,00,000

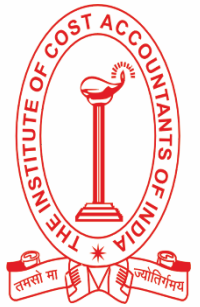
$$\text{Marginal relief} = \text{Calculated Surcharge} - 70\% (\text{Income} - ₹ 50,00,000) \text{ (if positive)}$$

Similar relief shall also be provided where income exceeds marginally above at each level (i.e., ₹ 1 crore or ₹ 2 crore or ₹ 5 crore). In that case, the aforesaid equation shall be changed accordingly.

Behind every successful business decision, there is always a **CMA**



Example continue



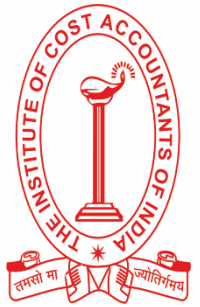
Particulars	Working	Amount
Liability [A]		13,15,500
Add: Surcharge	$B = [10\% \text{ of } (A)]$	1,31,550
Tax and surcharge		14,47,050
Less: Marginal relief	$[(B) - \{70\%(\text{₹ } 50,10,000 - \text{₹ } 50,00,000)\}]$	1,24,550
Effective Surcharge [C]		7,000
Liability after surcharge	$[A + C]$	13,22,500
Add: Health & Education cess	4% of above	52,900
Total	Rounded off u/s 516	13,75,400

The concept of marginal relief is not applicable in case of cess

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Tax Rate under New Regime: Individual / HUF / AOP / BOI / AJP



Total income	Rate of tax
Upto ₹ 4,00,000	Nil
From ₹ 4,00,001 to ₹ 8,00,000	5%
From ₹ 8,00,001 to ₹ 12,00,000	10%
From ₹ 12,00,001 to ₹ 16,00,000	15%
From ₹ 16,00,001 to ₹ 20,00,000	20%
From ₹ 20,00,001 to ₹ 24,00,000	25%
Above ₹ 24,00,000	30%

For all category of individual i.e, senior citizen, super senior citizen & others, basic exemption limit is ₹ 4,00,000 and same slab shall be applicable

Behind every successful business decision, there is always a **CMA**



Rebate u/s 156 under New tax regime



Conditions to be satisfied:

Total income of the resident individual **does not exceed ₹ 12,00,000**.

Quantum of Rebate:

Lower of the following:

- a. 100% of tax liability as computed above; or
- b. ₹ 60,000/-

However, rebate u/s 156 is not available on tax chargeable at special rate.

Marginal Relief

Marginal relief is available even if total income exceeds ₹ 12,00,000

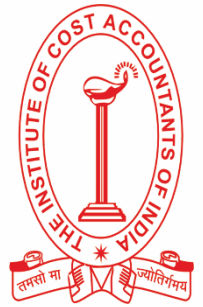
Marginal relief = Positive value of (Tax on income – Income in excess of ₹ 12,00,000)

Behind every successful business decision, there is always a **CMA**



Surcharge and Health Education Cess

Surcharge



Total Income	Rate of Surcharge
Total income does not exceed ₹ 50 lacs	Nil
Total income exceeds ₹ 50 lacs but does not exceed ₹ 1 crore	10% of tax
Total income exceeds ₹ 1 crore but does not exceed ₹ 2 crores	15% of tax
Total income exceeds ₹ 2 crores	25% of tax*

* Where the total income includes dividend, any income chargeable u/s 196, 197 and 198, the surcharge on the amount of income-tax computed on that part of income shall not exceed 15%. Further, in case of an AOP consisting of only companies as its members, the rate of surcharge on the amount of Income-tax shall not exceed 15%.

Health & Education Cess

Applicable on: All assessee

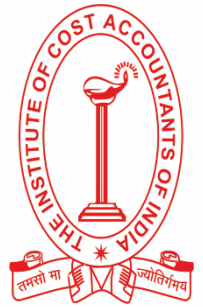
Rate of cess: 4% of Tax liability after Surcharge

Tax payable should be rounded off u/s 516

Behind every successful business decision, there is always a **CMA**



Tax Rate for Company



Company	Rate
In the case of a domestic company	
- Where its total turnover or gross receipts during the tax year 2024-25 does not exceed ₹ 400 crore	25%
- In any other case	30%
In the case of a foreign company	35%

Surcharge subject to marginal relief

Total Income	Domestic Company	Foreign Company
If total income exceeds ₹ 10 crore	12%	5%
If income exceeds ₹ 1 crore but does not exceed ₹ 10 crore	7%	2%
If income does not exceed ₹ 1 crore	Nil	Nil

Health & Education Cess

Applicable on: All assessee

Rate of cess: 4% of Tax liability after Surcharge

Tax payable should be rounded off u/s 516

Behind every successful business decision, there is always a **CMA**



Tax Rate for Other Assessee

Firm & Local Authority

A partnership firm (including limited liability partnership) is taxable at the rate of 30%

Surcharge: 12% of income-tax (if total income exceeds ₹ 1 crore otherwise Nil), subject to marginal relief

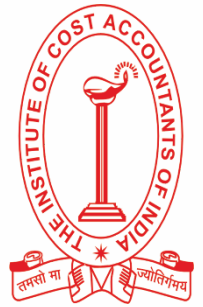
Health & Education Cess: 4% of tax liability after surcharge

Co-operative Society

Income	Rate of tax
Upto ₹ 10,000	10%
From ₹ 10,001 to ₹ 20,000	20%
Above ₹ 20,00	30%

Surcharge: 7% of tax (if total income exceeds ₹ 1 crore but does not exceed ₹ 10 crore) / 10% of tax (if total income exceeds ₹ 10 crore), subject to marginal relief

Health & Education Cess: 4% of tax & surcharge



Behind every successful business decision, there is always a **CMA**



Optimization of tax liability of an Individual



High-Net-Worth (>₹5 Cr)

Due to the surcharge compression, the New Regime is almost universally the **mathematical victor**, regardless of deductions.



Middle-Tier (₹24L - ₹5Cr)

Selection is contingent upon a Comparative Threshold Analysis. The decision rests on whether Sacrificed Benefits cross the ₹ 7.75l to ₹ 8.1L mark.

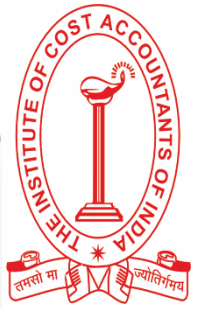


Entry-Tier (<₹24L)

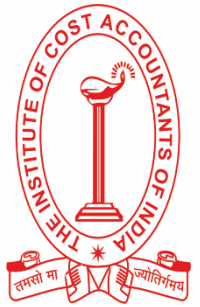
If tax-saving claims are below the threshold, the New tax Regime typically more beneficial

Disclaimer: Thresholds are based on standard assumptions. Always compute your actual income and tax liability under both regimes before finalizing your tax strategy.

Behind every successful business decision, there is always a **CMA**



PAN Application Form – Rule 158



Form 93

Indian Individuals: Application for Indian citizens, including salaried, self-employed.



Form 94

Indian Entities: Application for Non-Individual entities incorporated in India (Companies, LLPs, Firms, Trusts, AOPs).



Form 95

Foreign Individuals: For foreign citizens requiring PAN for Indian financial transactions.



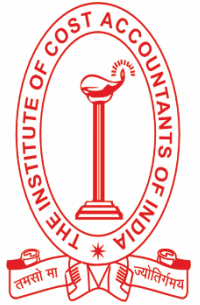
Form 96

Foreign Entities: For non-individual entities incorporated outside India

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TAN Application Form



Form 134: Government

For Government Deductors, including Central/State or local authority. Requires AIN (Accounts Office ID Number) details for registration.



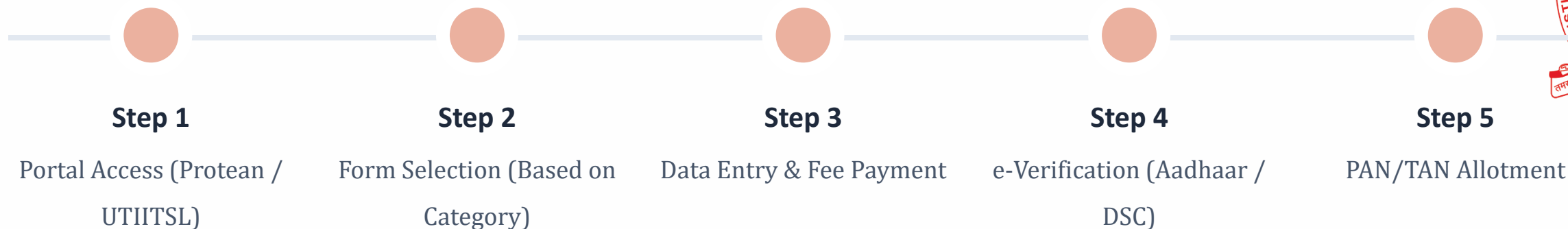
Form 135: Non-Government

For all Private Sector deductors (Companies, LLPs, Firms, Trusts) and Individuals. Requires proof of identity/address

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Digital Application Workflow



Average processing time: 7-10 working days for digital applications.

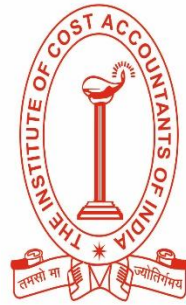
Fee

Sl. No.	Particulars	Fee (inclusive of taxes) (₹)
1	Dispatch of physical PAN Card in India (Communication address is Indian address)	107
2	Dispatch of physical PAN Card outside India (where foreign address is provided as address for communication)	1017
E-PAN (if physical PAN not required)		
3	PAN applications submitted at TIN Facilitation Centers / PAN Centers	72
4	PAN applications submitted Online through paperless modes (e-KYC & e-Sign / e-Sign scanned based / DSC scanned based)	66

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Thank You



ICMAI **THE INSTITUTE OF** **COST ACCOUNTANTS OF INDIA**

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